RG CAPITAL PARTNERS

RGC IOS Fund I

Industrial Outdoor Storage Aggregation Fund

Target Equity Raise: $20,000,000

Minimum Investment: $250,000

Target Markets: Kansas City Metro & South Florida

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EXECUTIVE SUMMARY

The Opportunity

RGC IOS Fund I is a closed-end real estate fund targeting the acquisition and aggregation of Industrial Outdoor Storage (IOS) properties across the Kansas City metropolitan area. The Fund will acquire individual sites from fragmented owners at value-add pricing, professionalize operations, and build a portfolio positioned for sale to institutional buyers at compressed capitalization rates.

$20M
TARGET RAISE

$45M+
TOTAL BUYING POWER

30-50
TARGET SITES

2.5-3x+
TARGET EQUITY MULTIPLE

Investment Strategy

Acquire fragmented IOS sites from mom-and-pop owners at 7-9% cap rates. Professionalize leases, improve sites, and aggregate into a portfolio for sale to institutional buyers at 5-5.5% cap rates.

Competitive Edge

Vertically integrated property management via Rovira PM with operations in both Kansas City and South Florida, plus a strategic partnership with a proprietary technology platform embedded in the IOS space — providing direct access to tenants and off-market deal sourcing.

MARKET OVERVIEW

Why Industrial Outdoor Storage?

IOS is one of the fastest-growing sectors in commercial real estate — yet remains deeply fragmented and under-institutionalized, creating a rare arbitrage opportunity.

Supply Constrained

Industrial-zoned land near population centers is finite. Zoning boards resist new IOS approvals. Existing sites are being rezoned to higher uses (residential, mixed-use), permanently reducing supply.

Recession Resistant

IOS tenants are infrastructure and logistics companies — essential services that operate through economic cycles. Construction, utilities, and freight don't stop in downturns.

Demand Accelerating

E-commerce growth drives last-mile logistics demand. Trucking, construction, utilities, and infrastructure companies all need staging yards. The 2021 Infrastructure Investment and Jobs Act has further increased demand.

Minimal Capital Expenditure

No roofs, no HVAC, no tenant improvement packages. Maintenance is limited to grading, fencing, and drainage. Operating margins of 70-85% are common — significantly higher than traditional CRE.

70-85%
OPERATING MARGINS

200-300
BPS CAP COMPRESSION SINCE 2020

85%+
FRAGMENTED OWNERSHIP

INVESTMENT STRATEGY

Acquire. Aggregate. Exit.

1 Source & Acquire

Off-market sourcing from mom-and-pop owners at 7-9% cap rates

→

2 Professionalize

NNN leases, site improvements, environmental compliance

→

3 Stabilize

Fill vacancy, push rents, build 3-5yr operating history

→

4 Exit

Portfolio sale to institutional buyer at 5-5.5% cap rate

Acquisition Criteria

- Individual sites: $500K – $3M per acquisition
- 1–10 acres, paved or improved gravel
- Industrial zoning in place (no entitlement risk)
- Proximity to major interstates, rail, or logistics corridors
- Fenced and secured with basic infrastructure
- Phase I environmental clearance required

Value Creation Levers

- Convert gross leases to Triple Net (NNN) structure
- Mark rents to market (15-25% below-market typical)
- Install 2-3% annual escalators or CPI adjustments
- Site improvements: grading, paving, security, drainage
- Extend lease terms with creditworthy tenants
- Backfill vacancy through technology partnership and broker relationships

TARGET MARKETS

Two Strategic Markets

The Fund concentrates capital in two high-conviction markets where RG Capital has existing operations, market knowledge, and boots on the ground — maximizing both deal flow and management efficiency.

Kansas City Metro — 70%

America's logistics crossroads — intersection of I-70, I-35, I-29, I-49 and the nation's #2 rail hub by tonnage.

- RG Capital already operates 7 commercial properties here
- BNSF & Union Pacific intermodal yards drive staging demand
- Owning 15+ sites in one MSA creates institutional-grade pricing power
- One management team covers all sites within 30-mile radius
- Deep broker relationships enable off-market deal sourcing

South Florida — 30%

Gateway to Latin America and the Caribbean — one of the tightest industrial markets in the U.S. with virtually zero new IOS supply.

- Rovira PM headquartered in Miami with 420+ units under management
- PortMiami & Port Everglades drive massive logistics/staging demand
- Construction boom creates equipment & materials storage needs
- Industrial land is scarce and being rezoned to residential at pace
- Population growth & infrastructure spend fuel long-term demand

Strategy: Concentrate 70% of capital in KC to build a dominant position. Deploy 30% in South Florida where Rovira PM's existing infrastructure provides a management edge and geographic diversification reduces single-market risk.

FINANCIAL PROJECTIONS

Target Returns

The Fund's returns are driven by cap rate compression between acquisition (7-9%) and disposition (5-5.5%), combined with organic NOI growth through rent increases and lease-up.

SCENARIO	EXIT CAP RATE	PORTFOLIO VALUE	EQUITY VALUE	EQUITY MULTIPLE	NET IRR
Conservative	6.0%	$75M	$50M	2.5x	~15%
Base Case	**5.5%**	**$82M**	**$57M**	**2.85x**	**~18%**
Bull Case	5.0%	$90M	$65M	3.25x	~21%

Acquisition Assumptions

$20M equity + ~$25M debt (55-60% LTV)
Avg. acquisition: $1.2M at 7.5% cap
35-40 sites acquired over 5 years

Stabilization

Year 1 portfolio NOI: ~$3.5M
Year 5 stabilized NOI: ~$4.5-5.0M
Growth from rent bumps + lease-up

Exit Timeline

Target exit: Years 7-8
Fund maturity: Year 10
Earlier exit = higher IRR for investors

FUND TERMS

Structure & Economics

Fund Name	RGC IOS Fund I, LLC	**Pref Return**	8% cumulative
General Partner	RG Capital Partners LLC	**GP Co-Invest**	5-10% ($1-2M)
Target Raise	$20,000,000	**Carry**	20% above 8% pref
Minimum	$250,000	**Catch-Up**	50/50 to GP 20%
Fund Term	10 years (5 + 5)	**Waterfall**	European (whole-fund)
Leverage	55-60% LTV	**Mgmt Fee**	1.5% annually
Offering Type	Reg D 506(c)	**Acq Fee**	1% of purchase price
Investor Type	Accredited	**Distributions**	Quarterly

Investor Waterfall

1. Return of Capital — 100% to LPs

LP Capital Returned First

2. Preferred Return — 8% cumulative

8% Pref to LPs

3. GP Catch-Up — 50/50 to 20%

50/50 Catch-Up

4. Residual Split — 80/20

80% LP | 20% GP

EXIT STRATEGY

Institutional Portfolio Sale

The primary exit strategy is a portfolio sale to an institutional buyer. The IOS sector has attracted significant institutional capital, with major platforms actively acquiring aggregated portfolios.

Target Institutional Buyers

Mega Platforms

Fortress Investment Group
Alterra IOS (15,000+ acres)
Brookfield Asset Management
Ares Management (Iron Point)

Institutional Capital

CBRE Investment Management
TPG Real Estate
Stockbridge Capital
Harrison Street

Industrial Platforms

Stonemont Financial
Prologis (adjacent)
Merit Hill Capital
Foundry Commercial

Why They'll Pay a Premium

- **Portfolio premium:** Diversified 35+ site portfolio commands 150-250 bps compression vs. individual sales
- **Market dominance:** Controlling 15+ sites in KC creates a competitive moat institutions value highly
- **Institutional-ready:** Standardized NNN leases, professional reporting, environmental compliance
- **Proven cash flow:** 3-5 years of auditable operating history with rent growth trajectory
- **Embedded growth:** Below-market leases with contractual escalators provide built-in upside
- **Scalable platform:** Buyer acquires management infrastructure, not just real estate

LEADERSHIP

General Partners

Carlos Rovira

Managing Partner

10 years in tech engineering before applying data-driven, systems-based thinking to real estate. Founder of RG Capital Partners and Rovira Property Management. Manages 12+ commercial properties and 420+ units across Kansas City and Miami through a vertically integrated platform, maximizing returns through operational control.

Alfredo Garcia, PhD

Partner — Capital & Strategy

Princeton PhD with expertise in statistical analysis of neighborhood change and growth potential. Led fundraising efforts raising over $10M in capital for RG Capital Partners. Based in Kansas City, Alfredo leverages data-driven analysis to identify opportunities and drives the firm's capital relationships and strategic expansion.

Proprietary Technology Partnership

RG Capital has partnered with a proprietary technology platform embedded in the IOS and trucking space, serving the exact operators who own and use outdoor storage facilities — trucking companies, fleet operators, and logistics providers. This creates a **proprietary deal sourcing channel** that provides access to both potential sellers (facility owners looking to monetize) and tenants (operators needing yard space), giving the Fund a two-sided market advantage.

TRACK RECORD

Proven Value-Add Execution

RG Capital Partners has a demonstrated track record of acquiring underperforming commercial properties, stabilizing them through hands-on management, and creating significant equity value.

12+	$18M+	2
COMMERCIAL PROPERTIES	ASSETS UNDER MANAGEMENT	MARKETS (KC & MIAMI)

Case Study: Noland Plaza — Independence, MO

Multi-tenant office building in the Independence sub-market. Acquired underperforming, stabilized through active management, and successfully exited.

34%	2.32x	3 yr
NET IRR	EQUITY MULTIPLE	HOLD PERIOD

Vertically Integrated Management

Unlike most syndicators, RG Capital manages all properties in-house through Rovira Property Management. This eliminates the principal-agent problem and gives the GP direct control over tenant relationships, capital improvements, and operating expenses.

Same Playbook, New Asset Class

The IOS aggregation strategy mirrors what RG Capital has already proven with shopping centers: buy from fragmented owners at value-add pricing, professionalize operations, create portfolio value, and exit to institutional buyers. IOS offers even higher margins with lower capex.

Key Risks & Mitigants

RISK	DESCRIPTION	MITIGANT
Environmental	Prior industrial use may have contaminated soil or groundwater	Phase I required on every acquisition. Phase II if warranted. Environmental insurance available for legacy exposure.
Zoning	Municipalities may rezone industrial land to residential or mixed-use	Only acquire sites with industrial zoning in place. No speculative entitlement plays. Concentrated portfolio enables political advocacy.
Tenant Credit	Many IOS tenants are small private companies	Diversification across 30-50 tenants. NNN leases shift operating costs. Security deposits required.
Interest Rate	Rising rates could reverse cap rate compression	Conservative leverage (55-60% LTV). Fixed-rate financing where possible. IOS supply constraints support values regardless of rate environment.
Market Concentration	Heavy Kansas City focus creates geographic risk	KC is a top-tier logistics hub with structural demand. 30+ sites diversify across submarkets. South Florida allocation (30%) provides geographic diversification.
Liquidity	Real estate is inherently illiquid; 10-year fund term	Target exit in years 7-8. Strong institutional demand for IOS portfolios. Multiple exit paths (portfolio sale, recap, individual sales).

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RGC IOS Fund I

Join Us in Building the Premier IOS Platform

$20M	18%+	2.85x
TARGET RAISE	TARGET NET IRR	TARGET MULTIPLE

Carlos Rovira — carlos@rgcappartners.com

Alfredo Garcia — alfredo@rgcappartners.com

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